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BEFORE THE FEDERAL MARITIME COMMISSION

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AL KOGAN d/b/a GALAWAY
INTERNATIONAL,

Complainant,

v

WORLD EXPRESS SHIPPING,
TRANSPORTATION AND
FORWARDING SERVICES, INC
an Illinois corporation, d/b/a
W.E.S.T. FORWARDING SERVICES,
(FMC Lic. # 3 118-R),

Respondent.

Docket No. 00-04

ANSWER TO COMPLAINT

The above-named Respondent (hereafter also referred to as "W E S T"), by and through the undersigned counsel, for the Answer to the Complaint filed by Complainant (hereafter also referred to as "KOGAN"), in this proceeding, states

I. This Answer is timely filed pursuant to the March 20, 2000 Grant of an Extension of Time by Administrative Law Judge Norman D Kline in response to Motion requesting such additional time which was filed on March 16, 2000 by the undersigned law firm on behalf of Respondent.

II. The Complaint is insufficient because it does not comply with the requirement of the Federal Maritime Commission (hereafter also referred to as "FMC") regulations which require that all necessary and proper parties be joined as respondents if a complaint relates to through transportation by continuous carriage or transshipment. 19 C.F.R. § 502.44(a) This matter

relates to transshipment. Therefore, Atlantic Ocean Lines and Zim Israel Company Navigation Ltd. Are necessary and proper parties which Complainant failed to join.

III. With respect to paragraph I of the Complaint, the Respondent is without knowledge to admit or deny its averments. W E S T admits, however, that at all times relevant to the transportation in question, it did business with KOGAN either individually, or doing business in the name of Galaway Intrnational.

IV. With respect to paragraph II of the Complaint, the respondent admits that it is an Illinois corporation, World Express Shipping, Transportation and Forwarding Services, Inc , d/b/a W.E S T Forwarding Services. Its principal place of business is 729 Route 83, Suite 307, Bensenville, Illinois 60106. Its Ocean Freight Forwarder license number, issued by the Federal Maritime Commission, is 3318-R. The Respondent engages in business as an ocean freight forwarder and a nonvessel operating common carrier (hereafter also referred to as "NVOCC") at its principal place of business. However, in all actions connected with the transportation in question, W E S T was acting only as an ocean freight forwarder and never acted as an NVOCC.

V. With respect to paragraph III of the Complaint the jurisdiction of the Federal Maritime Commission is admitted. The Federal Maritime Commission has jurisdiction over the Complainant and over the Respondent pursuant to the provisions of the Shipping Act of 1984 (46 U S C App 1701 *et seq* and Chapter 4 of Title 46 of the Code of Federal Regulations)

VI. With respect to paragraph IV of the Complaint, the Respondent replies as follows

A. W E S T admits that in early February 1998 it entered into an oral contract by telephone with KOGAN to ship a 40 foot container of auto care products to Moscow, Russia, via Kotka, Finland (the "Container"). W E S T denies that at that time it had knowledge of the container number or the number of cases that would be shipped. W E S T also denies that there was a set

price established at that point in time for the transportation of the container W.E S T admits that by the time it issued Invoice No CHE-030492 on March 16, 1998 to KOGAN at Galaway International Co , the shipper had instructed W.E S T to accept the AOL price for shipment to Moscow W E S T denies that such invoice is evidence of the contract alleged by paragraph A of paragraph IV in the Complaint.

B W E S T admits that KOGAN made it known that the container needed to be routed through Kotka, Finland and that arrival time in Moscow within 35 days was critical. W E S T also admits that it knew that the Container was to travel by truck from Kotka to Moscow W E S T denies that it was explained to him that the "ground transportation environment in the Commonwealth of Independent States at that time" was the reason for the requested route W E S T avers that the reason for the desired routing was because KOGAN had made arrangements for favorable Customs clearance treatment at Vyborg, a border crossing into Russia accessible from Kotka by truck. W.E S T denies that it assured KOGAN at the time of contracting, or at any subsequent time, that it would be responsible for the shipment "door-to-door" W.E S T denies that it assured KOGAN that he only needed to purchase insurance that W E S T offered on the shipment for protection. First of all, W E S T could not provide insurance on the shipment in question by its blanket coverage because of the high risk involved. Insurance was purchased independently from Black Sea and Baltic General Insurance Company of London. Secondly, W.E S T , as an ocean freight forwarder licensed by the Federal Maritime Commission cannot be legally responsible for the shipment's ultimate routing. As an ocean freight forwarder, W.E S T provides assistance in connection with ordering cargo to port; preparing and/or processing export declarations, booking, arranging for or confirming cargo space, preparing or processing delivery orders or dock receipts, preparing and/or processing

ocean bills of lading, preparing or processing consular documents or arranging for their certification, arranging for warehouse storage, arranging for cargo insurance, clearing shipments in accordance with United States government export regulations, preparing and/or sending advance notifications of shipments or other documents to banks, shippers or consignees, as required, handling freight or other monies advanced by shippers, or remitting or advancing freight or other monies or credit in connection with the dispatch of shipments, coordinating the movement of shipments from origin to vessel, and giving expert advice to exporters concerning letters of credit, other documents, licenses or inspections, or on problems germane to the cargoes' dispatch.

C W.E.S.T denies that at any time after contracting with KOGAN, W.E.S.T, acting as an agent of KOGAN, controlled the entire transaction concerning the container W.E.S.T denies that it chose intermediaries, including NVOCCs, and denies that it controlled all of the documentation involved. W.E.S.T specifically denies that KOGAN did not "direct or otherwise indicate what intermediary should be chosen" W.E.S.T avers that KOGAN told him to use Atlantic Ocean Lines (hereafter also referred to as "AOL") because KOGAN told W.E.S.T that AOL had the cheapest rate for the desired route W.E.S.T avers that it had never heard of AOL prior to this container being shipped, and would not have known about AOL had not KOGAN brought AOL to W.E.S.T.'s attention. W.E.S.T had previously done business with KOGAN and had always used reputable NVOCC's with which W.E.S.T was familiar and had satisfactory working relationships Furthermore, W.E.S.T denies that KOGAN did not communicate with W.E.S.T except to determine the location of the container and the estimated time of arrival in Kotka. In fact, KOGAN was in telephone contact with W.E.S.T when it was learned that the container had been routed through Haifa, Israel instead of Kotka. It was KOGAN who instructed

W E S T to do whatever needed to be done to get the container rerouted to Kotka. So important was the rerouting to KOGAN, that expense was not a consideration.

D W.E S T admits that, on or about February 26, 1998, it made arrangements to have the goods picked up at Treatment Products, Ltd., in Chicago, Illinois and shipped to New York for ocean transport. W E S T denies that it "let it sit there for a week while they looked for the cheapest ocean freight charges they could find in order to increase their margin on the transaction." Any delay that occurred in New York was due to normal shipping practice and procedure. It was necessary for W.E S T to have the booking in place and freight charges agreed to prior to the container being moved from Chicago to New York.

E W.E S T denies that it failed to ship the container pursuant to its agreement with KOGAN. W.E S T avers that it instructed AOL to ship the container to Moscow via Kotka. In fact, an AOL bill of lading, numbered 3996AOL, was prepared by AOL showing that routing and sent to W E S T for approval (Exhibit A). W.E S T gave such approval in a timely fashion. It was not until the bill of lading that actually covered the shipment, also numbered 3996AOL (Exhibit B), was received by W E S T that W E S T learned that the shipment had been otherwise routed. The substitute routing was to Odessa (via Haifa) to Moscow. W E S T did not know nor could it have known that the container was shipped on a Zim Israel Navigation Company, Ltd. (hereafter also referred to as "Zim") vessel until it received the AOL house bill of lading which showed the vessel to be Zim Japan. W E S T denies that Zim does not call at Kotka, Finland. In fact, in other trade lanes Zim does call at Kotka, Finland and it was a Zim vessel which ultimately carried the container from Haifa to Kotka when it was re-routed per KOGAN's instructions. W E S T denies that prior to the shipment to Haifa it argued over a price quoted to it by the NVOCC, AOL. W E S T avers that it did not choose the NVOCC, but

was directed to use AOL by KOGAN who specifically instructed W.E S T to do so because the price was cheaper than other prices With respect to the shipping charges on AOL it was KOGAN who wanted to save the shipping costs and it was KOGAN who selected AOL and agreed to a shipping price of \$4,335.00. W.E S T avers that KOGAN and W.E S T had an agreement that W E S T should obtain a \$200 margin on its ocean freight shipments That was part of their continuing agreement of doing business In fact, KOGAN and W.E S T had worked together on previous shipments and KOGAN had also used W.E S T as its ocean freight forwarder on subsequent shipments until the collection matter in which W E S T sought to seek reimbursement of funds expended on behalf of KOGAN on this shipment, in the approximate amount of \$13,000, became an issue , and KOGAN refused to pay

With respect to the margins of \$50 on U S inland freight, \$139.36 on the sale of insurance, \$100 in forwarding charges and \$55 in courier charges, W E S T does not dispute the accuracy of those statements, but fails to understand why they are mentioned in the Complaint as it is lawful for W E S T to add margins to the services it sells and provides in order to realize a profit in its business Furthermore, a 10% margin is a reasonable margin by any standards W.E S T admits that on March 18, 1998 it forwarded its \$4,335.00 to AOL to pay for the ocean freight charges for this shipment. (Exhibit C) Furthermore, W.E S T also notes that it has never been reimbursed by KOGAN for the \$4,335.00 which it paid AOL over two years ago, so that KOGAN's container could reach its destination.

F W.E S T is without knowledge of the factual accuracy of the first sentence in this paragraph. W.E S T denies that it exposed KOGAN to any damages However, it states that it realized there was a problem with the shipment as it was on its way to ODESSA. W E S T denies that Jean DeKeyser, President of W E S T , represented that the container could be

“easily, with no problem, redirected to Kotka.” W E S T admits that the container had been misdirected but it was due to the fault of AOL and in no way was W.E S T responsible for the incorrect routing. Nor did W.E S T say that it was “really not much of a problem.” Jean DeKeyser also denies that he represented that W E S T was making “about \$80 00 on the deal for documentation.” It is also a false statement that at any time W E S T represented to KOGAN that it would cost no more than \$300 00 equally split three ways, and KOGAN would have to strictly follow W.E.S.T.’s instructions. KOGAN vehemently denies all of those statements. Furthermore, W E S T could not have sued AOL on this matter. KOGAN would have had to sue AOL because it was KOGAN who had standing. It was KOGAN’s shipment. KOGAN had beneficial interest in the shipment. All of the so-called representations which are averred in paragraph F of paragraph VI, are false.

W E S T did say that it would do what could do to facilitate the movement of the container from Haifa to Kotka as soon as possible. It was at KOGAN’s insistence that W.E S T agreed to take such action. W E S T acted only upon KOGAN’s agreement that he would reimburse W.E S T for any and all necessary expenses to get the container rerouted. W.E S T understood that it was of primary importance to KOGAN to effect the border crossing into Russia at Vyborg because KOGAN had made previous customs clearance arrangements.

W E S T denies that it requested, or that Victor agreed to contribute a \$100 00 share. W.E.S.T denies that KOGAN agreed to pay only \$100 00 additional. KOGAN specifically agreed to pay whatever was necessary over and above the original price of \$5,440.10 to get the container rerouted to Moscow via Kotka, Finland. Jean DeKeyser vehemently denies that he ever suggested that KOGAN agree to allow the container to “‘disappear’ for insurance purposes.” This is quite simply a slander against DeKeyser by an irate shipper.

G W E S T is without knowledge as to the truth or accuracy of the first sentence in this paragraph. W.E S T does not know whether or not KOGAN's customer ever accepted the goods W E S T denies that it had any responsibility to "re-ship the container from Haifa, Israel to Kotka, Finland." Indeed, W.E S T did what it could do to effect, on behalf of its shipper, the release of the container from AOL to Zim Lines while the container was in Haifa. One of the things it did was to institute a correspondence with Mr Joseph Farrell of the Federal Maritime Commission and to seek Mr Farell's assistance in trying to get AOL to release the container because all of the ocean freight had been paid. W E S T denies that it ever fought with AOL over financial arrangements for redirection of the container W.E.S.T.'s letter writing campaign was not to clear its name with the Federal Maritime Commission but to seek the FMC's assistance in getting the container released in Haifa for rerouting. There was not a financial dispute with AOL other than that AOL was making unreasonable demands for additional charges that it could not substantiate and which did not appear to be due because all ocean freight had been paid to AOL As one of its apparent ploys, AOL told W E S T that it would not release the container to W.E S T because it was not the owner of the goods Thus, W.E S T contacted KOGAN and asked him to write a letter as shipper instructing AOL to release the container to W.E S T Forwarding. W.E S T does not know whether AOL knew who KOGAN was when KOGAN called by phone, but his name, as Galaway International Co is on the bill of lading in the Shipper's box and if AOL did not initially know who KOGAN was, W.E S T is sure AOL was soon made aware. If AOL stated that W.E S T was lying, the FMC is informed that AOL lacked integrity and dealt dishonestly with its customers, and has subsequently gone out of business after injuring many shippers and freight forwarders by its deviant, unlawful and reprehensible practices W E S T denies that it lied to its customer at any point in time during

this entire transaction. W E S T denies that it specifically requested that the container be shipped through Haifa after refusing to pay \$500 00 more for the Kotka route. W E S T reiterates that it only used AOL because it was directed to by its shipper, KOGAN. W E S T, acting as a competent and responsible freight forwarder, served its customer, KOGAN, as best it could, and did everything it possibly could to get the container from Haifa to Kotka. Because it became necessary for KOGAN to write a letter to AOL on Galaway stationery, and because KOGAN's English is poor, W.E S T helped KOGAN with the letter by providing a draft. It was not that KOGAN was assisting W.E S T in its efforts. In fact, it was exactly the opposite. W.E S T, in its capacity as an ocean freight forwarder, was assisting KOGAN to get its container to destination.

H. W E S T denies the averments of the first sentence. As soon as it learned that the container had been diverted to Haifa and it became necessary to retain attorneys to get the container released and into the hands of Zim, W.E S T acted only upon the authorization and direction of KOGAN and with KOGAN's assurances that it would repay W.E S T for any and all expenses it incurred in connection with the rerouting of the container. W E S T never shipped the container with itself as the NVOCC from Haifa to Kotka. The facts, as W.E S T understands them, are that AOL finally turned over the original Zim bill of lading to Zim and instructed that the container be released to Galaway in care of W.E S T. W.E S T, upon instructions from KOGAN, instructed Zim to ship the container to Kotka for release to the consignee. A new bill of lading (Exhibit D) was prepared by Zim as the ocean carrier, and three originals were delivered to W.E S T. Upon W.E.S.T.'s receipt of the three originals, W.E S T immediately delivered two original ocean bills of lading to KOGAN and retained one original ocean bill of lading in its ocean freight forwarding file as per usual procedures. W.E S T is

without knowledge as to whether the original customer was lost. It denies that it had any responsibility for delaying the container getting to Kotka, Finland.

I. W.E S T denies the first sentence. In fact, as stated above, KOGAN already had two original ocean bills of lading and had received them from W E S T upon the Zim sailing from Haifa to Kotka. W.E S T never refused to turn over bills of lading to KOGAN because KOGAN never requested them. W.E S T admits that it asked for its \$13,000.00 from KOGAN, but never asked for interest.

With respect to the \$2,000.00 which represented the portion of the shipment from Kotka to Moscow which never took place on AOL, W.E S T did request a refund of that money from AOL but, as the Federal Maritime Commission is well aware, AOL subsequently went out of business, and its meager \$50,000.00 bond has long been depleted. Needless to say, AOL never reimbursed W E S T the \$2,000.00 and it is now impossible to obtain a refund of that money. It should be noted at this point, however, that while KOGAN is complaining about these expenses, that KOGAN has never reimbursed W.E S T one penny for all of W.E.S.T.'s time, effort and expense in the shipment of KOGAN's container. The expenses that W E S T incurred in getting the container released in Haifa and rerouted to Kotka, including attorney fees incurred in Haifa and the United States, were incurred only as an ocean freight forwarder on behalf of KOGAN, the shipper, and specifically at the direction of KOGAN.

The \$500.00 unrelated shipment charge which is complained of represents an overweight charge on a previous shipment, packed shipper's load and count, which W E S T had paid on behalf of KOGAN and billed KOGAN for reimbursement. KOGAN had deducted the \$500.00 from its remittance to W.E S T and has never reimbursed W E S T.

W E S T denies that it ever held the container for three months as "hostage" in Kotka.

J W E S T is without knowledge of any details pertaining to KOGAN's alternate customer. W E S T denies that KOGAN ever requested it to turn over a bill of lading to KOGAN. W.E S T denies that it ever refused to turn over a bill of lading to KOGAN. KOGAN already had two original ocean bills of lading. On behalf of KOGAN and at KOGAN's instructions, W.E S T submitted the third original bill of lading to Zim in Kotka and instructed Zim to endorse over that bill of lading to KOGAN's new customer and also reminded Zim to collect the demurrage that was due on the shipment from the consignee prior to releasing it. W E S T is without knowledge as to whether KOGAN actually paid the \$6,340.00 requested by Zim. Zim was not W.E.S.T.'s agent in Moscow. Any instruction W.E S T issued to Zim was strictly at the request of KOGAN and only to Zim in Kotka. When W E S T submitted the third original ocean bill of lading to Zim in Kotka it also remitted its check for \$3,925.00 (Exhibit E) in payment, on behalf of KOGAN, for shipping the container from Haifa to Kotka. W.E S T has no knowledge of any charges that were billed by Zim in Moscow, or anyone else, to KOGAN amounting to \$6,340.00. When the shipment left Haifa, W E S T was no longer directly involved with the shipment, except that when KOGAN requested W.E S T to submit the third original ocean bill of lading and advance additional ocean freight to Zim, W E S T did that in order to satisfy its shipper. W.E S T has no knowledge of any payment or of arrangements KOGAN may have made with its purchaser with respect to discounting the purchase price of the goods.

K. There was no reason for W.E.S T to credit \$6,340.00 against KOGAN's \$5,440.10. W E S T never received any payment in Moscow as it had no involvement with the container after it left Haifa, except for those referred to above concerning the submission of the third original ocean bill of lading and ocean freight payment. W.E S T admits that it demanded

KOGAN pay it approximately \$13,000.00. The demand consisted of the AOL ocean freight on the original shipment from Chicago to Moscow, the ocean freight on the second shipment from Haifa to Kotka, plus attorney fees and other costs of getting the container released from AOL and turned over to Zim in Haifa, plus W.E.S.T.'s fees. All of those additional costs were incurred upon the direction of KOGAN and can be fully substantiated. They have been paid in full by W.E.S.T. W.E.S.T. is without knowledge of a \$6,340.00 payment to anyone for a new shipment from Kotka to Chelyabinsk. W.E.S.T. denies that it ever overcharged local freight costs in any unlawful manner nor added inapplicable overweight charges for rail transportation of the shipment in order to manufacture an inflated invoice for the so-called new transaction. Each shipment and each bill of lading represented a separate shipment. There were no manufactured or inflated invoices issued by W.E.S.T. in connection with this transaction. W.E.S.T. denies that it "manufactured and turned over to KOGAN regional bills of lading, one showing a Haifa to Moscow shipment and another a Haifa to Chelyabinsk shipment." W.E.S.T. did not complete ocean carriers' bills of lading. W.E.S.T. simply prepares master documents which it submits to the ocean carriers who prepare their own bills of lading.

L. W.E.S.T. denies that it had any responsibility to deliver the container to KOGAN's alternate customer's warehouse in Chelyabinsk, Russia. W.E.S.T. denies that it abandoned the goods at a railway station. W.E.S.T. denies it caused additional credits for hauling, labor, *etc.*, to be charged against an already discounted purchase price of the goods. W.E.S.T. has no knowledge of what may have happened to the container after it left Haifa, except with respect to submitting the third original ocean bill of lading, together with ocean freight, to Zim in Kotka so that KOGAN could effect release of the container to its customer. W.E.S.T. denies any

responsibility for or involvement with the container beyond those already stated. Any contrary allegations of this paragraph are false

M. W E S T denies that KOGAN ever requested information from W.E S T concerning the maritime insurance purchased on the shipment. W E S T, since it never received any questions, could not have refused to give further information or refuse to cooperate with KOGAN concerning the insurance coverage. W E S T has no knowledge of KOGAN's experience with any claims that it may have made against its insurance. W.E S T has no knowledge of any contact that KOGAN had with the insurance company, Black Sea & Baltic General Insurance Company, Ltd. W.E S T has no knowledge of any refusal of coverage by the insurance company on the grounds of lack of documentation and unreasonable delay. W E S T has no knowledge of the damage to which the Complaint avers

N W.E S T has no knowledge of KOGAN's experiences in Moscow. W.E S T does admit that it continued to demand that KOGAN pay him \$13,000.00 for expenses that were made on behalf of KOGAN, and at KOGAN's direction. W E S T has never directly asked for interest on these charges. W E S T admits that he has riled a collection action in the Municipal Department of the Circuit Court of Cook County to recover the \$13,000.00 which KOGAN owes. W.E S T is able to substantiate every penny of the \$13,000.00 for which it demands reimbursement. KOGAN has been unable or unwilling to substantiate any part of the \$250,000.00 counterclaim which it alleges in that action. W.E S T denies that it filed false affidavits. W.E S T continues to aver that KOGAN specifically requested W.E S T hire AOL as its NVOCC for the shipment in question. W.E S T continues to aver that it worked only at the direction of KOGAN, and that KOGAN assured it would pay all expenses in connection with the shipment. W.E S T had issued previous invoices to KOGAN and, in fact, there had been a course of doing business

together prior to the shipment in question. W E S T admits that the state court case is pending at the time of this action. W.E S T denies that the \$13,000.00 is unauthorized, unjustified and unsubstantiated and insists that it is authorized, justified and fully substantiated.

VII. W E S T denies that it has injured KOGAN by violating the Shipping Act of 1984, as follows

- 1 W E S T denies that it violated 46 U S C § 1709(b)(1) because it never acted as an NVOCC with respect to the shipment in question.
- 2 W E S T denies that it violated 46 U S C § 1709(b)(5) because it never acted as an NVOCC with respect to the shipment in question.
- 3 W E S T denies that it violated 46 U S C § 1709(b)(6)(E) because it never acted as a NVOCC with respect to the shipment in question.
- 4 W E S T denies that it violated 46 U S C § 1709(12) because it never acted as a NOVOCC with respect to the shipment in question.
- 5 W E S T denies that it violated 46 U S C § 1709(d)(1) because
 - a. Although it did act as an ocean freight forwarder in connection with the some of the transportation connected with the movement of the subject container from Chicago to its ultimate destination, it denies that it failed to properly execute its duties as originally agreed upon. W E S T avers that it executed this shipment only upon instruction and direction of the shipper W.E S T denies that it held the container hostage in Kotka. It denies that it made any previous mistakes with the shipment. It denies that it improperly billed KOGAN or failed to properly deliver the container to the alternate destination. It denies it acted as a NVOCC It admits that it acted as a ocean freight forwarder, but only as far as Kotka. It

avers that all times relative to this container, it had established, observed and enforced just and reasonable practices relating to the cargo

b W E S T denies that it violated Subpart C of 46 C.F.R., Chapter IV, as follows

(i) First, W E S T denies that it violated section 5 10 21(f) of Title 46 of the Code of Federal Regulations 19 C.F.R. § 510 21(f) W.E S T denies that it ever provided false or fraudulent information to KOGAN which would have resulted in causing him damage W.E S T denies that it ever negotiated any ocean bills of lading with AOL W E S T admits that there was an ocean bill of lading issued by AOL “for approval” showing that the container would go through Kotka. W E S T denies that Zim does not call at Kotka. In fact W E S T knows that Zim does call at Kotka, as is evidenced by the fact that a Zim vessel carried the container from Haifa to Kotka. Second, W.E S T denies that it knew or should have had reason to believe that its invoice of March 16, 1998 indicating that the Zim vessel to Kotka was false because Zim does not call at Kotka, when in fact it is well known that Zim does call at Kotka. Third, W.E.S.T.’s invoice for the insurance was not false Fourth, W E S T denies that its invoice for inland freight and insurance was false Fifth, W E S T denies that its invoice of the ocean freight was false Sixth, W E S T denies that any representations by its president, Jean DeKeyser to KOGAN concerning the shipment of the container, up to and including August, 1998, were false Seventh, W E S T denies that it knew or had reason to believe that a number of the charges or fees billed in connection with the release of the container in Kotka were false W E S T denies that it

knew or had reason to believe that subsequent bills of lading were false Eighth, W E S T denies that it created any subsequent bills of lading concerning the container Ninth, W E S T denies that its collection claim filed in the Circuit Court of Cook County, Illinois is false and unjustified. W E S T avers that it is true and totally justified. Tenth, W.E S T denies that the affidavit filed by its employee, Faith Krzeminski, in the Circuit Court case claiming that KOGAN specifically requested that AOL be used by W.E S T, that W.E.S T acted only at the direction of KOGAN and that KOGAN offered to pay all expenses was false W.E.S T avers that all of those statements are true Eleventh, W.E ST denies that it knew or had reason to know that the affidavit, claiming invoices issued by W.E S T to KOGAN d/b/a Galaway International on early shipments was false Indeed, W.E S T avers that those statements were true

- (ii) W E S T denies that it violated 49 C.F.R. § 510.22(b) because it never withheld any information concerning the forwarding transaction from KOGAN, to cause KOGAN damages
- (iii) W E S T denies that it failed to exercise due diligence in ascertaining the accuracy of the information imparted to KOGAN It denies each and every allegation. It avers that it is not the responsibility of the ocean freight forwarder to cross-check information on Zim's ports of call. It was instructed by its shipper to use AOL, and AOL chose Zim. It denies that it failed to make any necessary payments in a timely manner It made all necessary payments in a timely manner and has not yet been reimbursed by KOGAN for

its expenditures. It denies that it failed to inform KOGAN of W.E.S.T.'s intentions concerning reimbursement of expenses, in fact, W.E.S.T. acted upon the explicit instructions of KOGAN to do what it had to do and upon assurances that KOGAN would reimburse all expenses. W.E.S.T. denies that it has any legal obligation to substantiate each and every charged fee. Under the FMC regulations, as ocean freight forwarder, it is not obligated to report to the shipper the underlying fees unless the shipper so requests and KOGAN never made a request.

- (iv) W.E.S.T. denies that it violated 49 C.F.R. § 510.22(d). W.E.S.T. had no ability to assure that AOL would select a carrier that would call at the port of Kotka, and when W.E.S.T. chose AOL it did so at the instruction of KOGAN. W.E.S.T. denies that it had any responsibility for choosing AOL, and subsequently Zim, and it denies any knowledge of Zim not calling at the port of Kotka. W.E.S.T. avers that Zim does call on the port of Kotka. W.E.S.T. denies any knowledge of bills of lading issued in August 1998 as it had no involvement in the shipment by that time.
- (v) W.E.S.T. denies that it violated 49 C.F.R. § 510.22(g) as it was never requested by KOGAN to provide a complete breakout of the components of its charges or a true copy of any underlying document or bill.
- (vi) W.E.S.T. denies that it violated 49 C.F.R. § 510.22(j) in that there were no overpayments, adjustments, reductions, refunds, insurance monies, *etc.*, due the principal. Indeed as has been stated previously, the principal owes

W E S T more than \$13,000.00 for monies W.E S T has expended on its behalf and for which W.E S T has never been reimbursed.

(vii) W E S T denies that it failed to fully disclose the identity of KOGAN as the shipper, or KOGAN d/b/a Galaway in its dealing with AOL, or with other parties, throughout this transportation. All of the bills of lading of which W.E S T has any knowledge show KOGAN or Galaway as the shipper

(viii) W E S T denies that it violated 46 C F R. § 510.23(f). W E S T was never paid for this shipment, let alone three separate times. It only acted as an ocean freight forwarder. It never acted as a NVOCC. W.E S T denies that it violated 46 C.F.R. § 510.23(h). It never received any compensation from AOL. Nor has it received any reimbursement of the funds it disbursed on behalf of KOGAN.

6 W E S T denies that section 46 U S C § 1710(g) applies to this matter in connection with the Complaint filed by KOGAN d/b/a Galaway International.

VIII. W E S T denies that the Complainant has been injured by the Respondent in this matter.

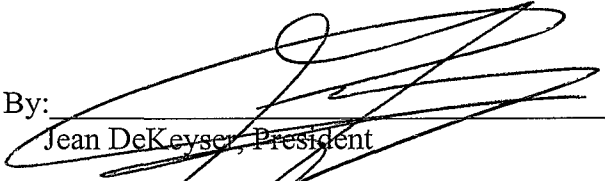
WHEREFORE, the Respondent prays that the Complaint in this proceeding be dismissed.

Alternatively, should the FMC decide to hold hearings in this case, W.E S T prays that all hearings be held in Washington, D C

Respectfully submitted,

World Express Shipping, Transportation and
Forwarding Services, Inc
d/b/a W.E S T Forwarding Services
729 Route 83, Suite 307
Bensenville, IL 60106
Telephone (630)787-0350

By:


Jean DeKeyser, President

RESPONDENT 7

Sandler, Travis & Rosenberg, P A.
Attorneys-at-Law
111 South Calvert Street
Baltimore, MD 21202
Telephone (410)385-5208

By:


Peggy Louie Chaplin, Esq.

April 11, 2000

S:\GILDA\WORK\PEGGY\FMC ANSWER-WEST.DOC

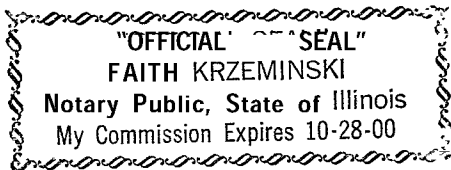
**VERIFICATION
ANSWER TO COMPLAINT**

STATE OF ILLINOIS)
) ss
COUNTY OF COOK)

Jean DeKeyser, being first duly sworn on oath deposes and says that he is president of World Express Shipping Transportation and Forwarding Services, Inc doing business as W E S T Forwarding Services, and is the person who signed the foregoing document; that he has read the document and that the facts stated therein, upon information received from others, affiant believes to be true

Subscribed and sworn to before me, a Notary Public in and for the State of Illinois, County of Cook, this 20th day of April, 2000

My Commission Expires

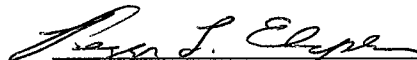


Faith Krzeminski

Notary Public

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that a copy of the original signature page for the Answer to Complaint of Respondent, World Express Shipping, Transportation and Forwarding Services, Inc., d/b/a W.E S T Forwarding Services, and a copy of the original Verification for the Answer to the Complaint was served by first class mail, this 27th day of April, 2000, upon Jonathan Clark Green, Jonathan Clark Green, P C, 350 North LaSalle Street, Suite 800, Chicago, Illinois 60610-4798, attorney for Al Kogan, Galaway International, 114 Harvard Court, Glenview, Illinois 60025


Peggy Louie Chaplin *by Al Kogan*

FROM : ERIC DECLERCK VAN DAELE
01/11/00 TUE 14:31FAA 2026382230

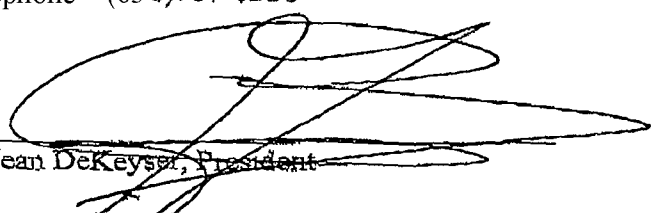
PHONE NO. : 51 064 512874
SANDLER TRAVIS & ROSENBERG

Apr. 11 2000 02:04PM P1
002

Alternatively, should the FMC decide to hold **hearings** in this case, W.E.S.T. prays that all
hearings be held in Washington, D.C.

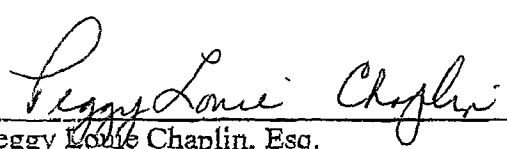
Respectfully submitted,

World Express Shipping, Transportation and
Forwarding Services, Inc.
d/b/a W.E.S.T Forwarding Services
729 Route 83, Suite 307
Bensenville, IL 60106
Telephone (630)787-0350

By: 
Jean DeKeyser, President

RESPONDENT

Sandler, Travis & Rosenberg, P A.
Attorneys-at-Law
111 South Calvert Street
Baltimore, MD 21202
Telephone (410)385-5208

By: 
Peggy Louie Chaplin, Esq.

April 11, 2000

SGILDALWORK\PEGGY FMC ANSWER-WEST.DOC

EXHIBIT A

SHIPPER/EXPORTER

GALLAWAY INTERNATIONAL CO,
114 HARVARD COURT
GLENVIEW IL 60025

DOCUMENT NO.

3996AOL

BOOKING NO.

1ENYC9658



EXPORT REFERENCES

14125 WEST REF:CHE-030492

CONSIGNEE

WIEN CO., LTD.
13 (BLDG.4) KRASNOGO MAYAKA STREET
MOSCOW 113570 RUSSIA

FORWARDING AGENT F.M.C. NO.

WEST FORWARDING
SERVICES

729 ROUTE 83,

STE 102 FMC 3115-R

POINT AND COUNTRY OF ORIGIN

GLENVIEW IL

NOT PARTY

SAME AS ABOVE..

AND ATTN:ZOYA OR ANTON D

DOMESTIC ROUTING/EXPORT INSTRUCTIONS/DELIVERY AGENT

PRE-CARRIAGE BY

PLACE OF RECEIPT BY

RE-CARRIER
CHICAGO

EXPORTING CARRIER

ZIM JAPAN

PORT OF LOADING/EXPORT

NEW YORK

LOADING PIER/TERMINAL

FOREIGN PORT OF UNLOADING

KOTKA

PLACE OF DELIVERY BY

IN-CARRIER
MOSCOW

OF MOVE

RAMP / PORT

CONTAINERIZED

YES NO

MARKS AND NUMBER

NUMBER
OF PACKAGE

PARTICULARS FURNISHED BY SHIPPER

DESCRIPTION OF PACKAGES AND GOODS

GROSS WEIGHT

MEASUREMENT

1X40'

STD CONTAINER STC 2359 CASES

23621

I

1004.2 cft

0

AUTO CARE PRODUCTS NON HAZARDOUS

12982

Lb.

23.44 cft

FREIGHT PREPAID

0

0

Lb.

0 cft

MAR 13 1998

0

0

Lb.

0 cft

AS
ADDRESSED
CNTR#ZCSUZ14858-

THESE COMMODITIES TECHNOLOGY OR
SOFTWARE WERE EXPORTED FROM THE U.S. IN
ACCORDANCE WITH THE EXPORT
ADMINISTRATION REGULATIONS. DIVERSION TO
THE U.S. LAW PROHIBITED

FREIGHT RATES, CHARGES, WEIGHTS AND/OR MEASUREMENTS

SUBJECT TO COMACTION

PREPAID

COLLECT

ATTN:
FAITH
FOR APPROVAL

Received by Carrier for shipment by ocean vessel between port of loading and port of discharge, and for arrangement or procurement of pre-shipment from place of receipt and on-carriage to place of delivery, where stated above the goods as specified above in apparent good order and condition unless otherwise stated. The goods to be delivered at the above mentioned port of discharge or place of delivery, whichever appropriate, subject always to the usual conditions, limitations, exceptions and liabilities set out on the reverse side hereof, to which the Shipper and/or Consignee agree to accepting this Bill of Lading. COMPLETED WITH:

NOT NEGOTIATED

DATED AT

BY

ATLANTIC OCEAN LINE CORP.

BL NO.

NO.

QAT

YEAR

MAR 09 1998

630-787

0377

EXHIBIT B



SHIPPER/EXPORTER

GALLAWAY INTERNATIONAL CO.
114 HARVARD COURT
GLENVIEW IL 60026

DOCUMENT NO.

3996AOL

BOOKING NO.

1ENYC9658

EXPORT REFERENCES

14125 WEST REF: CHE-030492

CONSIGNEE

WIEN CO., LTD.
13 (BLDG. 4) KRASNOGO MAYAKA STREET
MOSCOW 113570 RUSSIA

FORWARDING AGENT F.M.C. NO.

WEST FORWARDING
SERVICES 729 ROUTE 83,
STE 307 EMC 3118-R

POINT AND COUNTRY OF ORIGIN

GLENVIEW IL

NOTIFY PARTY

SAME AS ABOVE..
AND ATTN: ZOYA OR ANTON D

DOMESTIC ROUTING/EXPORT INSTRUCTIONS/DELIVERY AGENT

PRE-CARRIAGE BY

XXXX

PLACE OF RECEIPT BY

PRE-CARRIER

CHICAGO

EXPORTING CARRIER

ZIM JAPAN

PORT OF LOADING/EXPORT

NEW YORK

LOADING PIER/TERMINAL

FOREIGN PORT OF UNLOADING

ODESSA

PLACE OF DELIVERY BY

ON-CARRIER

MOSCOW

TYPE OF MOVE

RAMP

/PORT

CONTAINERIZED

YES NO

MARKS AND NUMBERS	NUMBER OF PACKAGES	PARTICULARS FURNISHED BY SHIPPER		GROSS WEIGHT	MEASUREMENT
		DESCRIPTION OF PACKAGES AND GOODS			
CONTAINER #	1X40'	STD CONTAINER STC 2359 CASES		Lb	cft.
ZCSU214858-0		AUTO CARE PRODUTS NON HAZARDOUS		28621 Lb	28.44 cft
		FREIGHT PREPAID			
SEAL#:15940897	0			Lb	cft.
		THESE COMMODITIES TECHNOLOGY OR SOFTWARE WERE EXPORTED FROM THE U.S. IN ACCORDANCE WITH THE EXPORT ADMINISTRATION REGULATIONS. DIVERSION TO THE U.S. LAW PROHIBITED		Lb	cft.

FREIGHT RATES, CHARGES, WEIGHTS AND/OR MEASUREMENTS

SUBJECT TO CORRECTION

PREPAID

COLLECT

Received by Carrier for shipment by ocean vessel between port of loading and port of discharge, and for arrangement or procurement of pre-carriage from place of receipt and on-carriage to place of delivery, where stated above. The goods described above in apparent good order and condition unless otherwise stated. The goods described above are to be delivered to the consignee at the place of delivery, whichever is applicable, subject to the above mentioned port of discharge or place of delivery, and to the above mentioned conditions, limitations, conditions and liberties set out on the reverse side hereof, to which the Shipper and/or Consignee agree to accepting this Bill of Lading. CO-LOADED WITH: IN WITNESS WHEREOF three (3) original Bills of Lading have been signed, not otherwise stated above, one of which being acknowledged the others shall be void.

DATED AT

By

ATLANTIC OCEAN LINE CORP.

BL NO. 3996AOL MO.

03

DAY 09

YEAR 98

TOTAL PREPAID

TOTAL COLLECT

EXHIBIT C

W.E.S.T. FORWARDING SERVICES, INC.

8133

729 ROUTE 83, STE. 307 PH. 630-787-0360
BENSENVILLE, I L 60108DATE 3/18/98 2-771710PAY
TO THE
ORDER OF

ATLANTIC OCEAN LINE

\$ 4335.00

FOUR THOUSAND THREE HUNDRED THIRTY FIVE & 00/100

DOLLARS

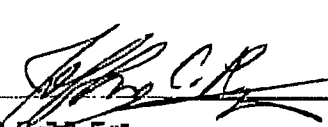
MP

American National Bank

and Trust Company of Chicago • Chicago, Illinois 60690

FOR

CHR 304 92



⑈008133⑈ ⑆071000770⑆ ⑈0960718265⑈

EXHIBIT D

LOADING

צ"מ שירות כנולוגיה
ZIM ISRAEL NAVIGATION COMPANY LTD.



צ"מ שירות כנולוגיה
ZIM CONTAINER SERVICE

SHIPPER / EXPORTER (NAME & ADDRESS)

GALLAWAY INTERNATIONAL, CO.
114 HARVARD COURT
GLENVIEW, IL 60025

BOOKING No.

1ENYC9658

BILL OF LADING No.

ZIMUNYC119095

EXPORT REFERENCES

SHIPPERS REP: 14125
WEST #:CHE-030492

CONSIGNEE (NAME & ADDRESS)

MAYDAN M.
13, THEYANICHEVA ST.
CHABXNSR 45888 RUSSIA
PH:7 3512 607946 FX:7 3512 618167

FORWARDING AGENT F.M.C. No

POINT AND COUNTRY OF ORIGIN (FOR MERCHANT'S REFERENCE ONLY)

IL, USA

(BY CARRIER'S RECEIPT FOR UNLADING ASSUMED TO ORDER)
NOTIFY (NAME & ADDRESS)

REMARKS / EXPORT OF THIS SHIPMENT OF THIS BILL OF LADING
Subject to the provisions of this Bill of Lading
we certify the within shipment has been
loaded "On Board".

FOR DEFINITION SEE CLAUSE 2 OVERLEAF.

INITIAL CARRIAGE BY (MODE)

ZIM JAPAN 21E
LOADING VESSEL

PLACE OF RECEIPT OF GOODS
(IF CONTRACTED FOR)

VOY. PORT OF LOADING

NEW YORK

PORT OF DESTINATION

KOTKA

FINAL DESTINATION
(IF CONTRACTED FOR)

MOSCOW

FURTHER ROUTING (AT MERCHANTS EXPENSE, RISK AND RESPONSIBILITY)

MAY 09 1998

Zim Container Service

By EP

PARTICULARS AS FURNISHED BY SHIPPER		WEIGHT	MEASUREMENT
MKS & NOS. / CONT NOS.	DESCRIPTION OF GOODS		
AS ADDRESSED 40'ZCSU-2148580 SEAL#15940897	1 CNT X 40' STC 2359 CASES AUTO CARE PRODUCTS NON-HAZARDOUS NO SED REQUIRED. SECTION 30.39 FTSR, C.A.S.-WW. THESE COMMODITIES, TECHNOLOGY, OR SOFTWARE WERE EXPORTED FROM THE UNITED STATES IN ACCORDANCE WITH EXPORT ADMINISTRATION REGULATIONS. REVERSION CONTRARY TO U.S. LAW PROHIBITED.	12982KG 28621LB	28.43CBM 1004CBT
TOTAL			

DETAILS	RATE		FREIGHT	
	PER	AMOUNT	PREPARED	COLLECT
AD VALOREM FREIGHT				

NOTICE: PLACE OF RECEIPT OF GOODS IS AN OBLIGATORY FIELD AND MUST BE FILLED IN BY THE SHIPPER OR THE CARRIER. IF THE SHIPPER OR THE CARRIER DOES NOT FILL IN THIS FIELD, THE CARRIER WILL BE RESPONSIBLE FOR THE LOSS OR DAMAGE TO THE GOODS. THE SHIPPER OR THE CARRIER MUST ALSO FILL IN THE FIELD OF THE PLACE OF RECEIPT OF GOODS. IF THE SHIPPER OR THE CARRIER DOES NOT FILL IN THIS FIELD, THE CARRIER WILL BE RESPONSIBLE FOR THE LOSS OR DAMAGE TO THE GOODS. THE SHIPPER OR THE CARRIER MUST ALSO FILL IN THE FIELD OF THE PLACE OF RECEIPT OF GOODS. IF THE SHIPPER OR THE CARRIER DOES NOT FILL IN THIS FIELD, THE CARRIER WILL BE RESPONSIBLE FOR THE LOSS OR DAMAGE TO THE GOODS.	MERCHANT'S DECLARED VALUE OF GOODS: If Merchant enters a value, Carrier's "package" limitation of liability shall not apply and ad valorem freight will be charged (See Clause 23)		
	NOTE: Received in apparent good order and condition, unless otherwise stated herein, for shipment on board the means of transportation (vessel, truck, rail or air) as named herein. The goods or packages or containers said to contain goods specified herein for carriage from the port of loading named herein or place of receipt of goods as named herein, if contracted for, on a voyage as indicated and agreed by this Bill of Lading and discharge at the port of destination or final destination named herein, if contracted for such carriage discharge or delivery being always subject to the terms, exceptions, limitations, conditions and liabilities hereinafter agreed. Weight, measure, marks, numbers, quality, contents and value as declared by Shipper but unknown to the Carrier. In accepting this Bill of Lading the Merchant expressly accepts and agrees to be bound by all the terms, stipulations, exceptions, limitations, liabilities and conditions stated herein, whether written, printed, stamped or otherwise incorporated on the front and/or reverse side hereof as well as the provisions of the carrier's published Tariff Rules, Regulations and schedules, without exceptions, as fully as if they were all signed by the Merchant, and the Carrier's undertaking to carry the goods is made on the basis of the Merchant's acceptance and agreement as aforesaid.	IN WITNESS whereof the Master or Agent of the said vessel has signed the number of original Bills of Lading stated below. All of this tenor and date. If this Bill of Lading is consigned to order, one shall be surrendered before delivery and the others to stand void.	
	The Merchant's attention is drawn to the fact that the terms of the Bill of Lading are continued on reverse side hereof and include limitations of liability in respect of loss or damage to the goods and delay. The package limitation mentioned in Clause 23 will not be applicable in the event that contents are carefully declared, labelled, valued by the Merchant prior to loading and Ad Valorem Freight is paid or contracted for. Goods carried in containers are carried in accordance with and subject to Carrier's container relay service (see Cl. 1 overleaf) and Carrier's Container Rules and Tariffs (see Clauses 10 & overleaf).	FREIGHT PAYABLE AT CHICAGO PLACE AND DATE OF ISSUE CHICAGO, IL SIGNED FOR ZIM CONTAINER <i>Kristin Pinkhart</i> As Agents for Zim Israel Navigation Co., Ltd. As Carrier	No. OF ORIGINAL B/L ISSUED

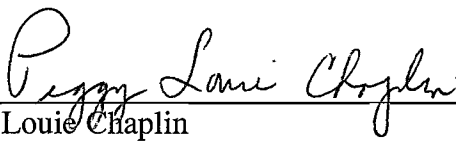
IF ANY OF THE DATA OF THIS DOCUMENT, WARRANTED VESSEL NOT TO CALL AT PORTS AND TO ENTER THE TERRITORY OF ANY COUNTRY IS IN CONFLICT WITH THE LAWS OF THE STATE OF ISRAEL, THE DATA WILL BE DELETED FROM THE DOCUMENT AND THE DATA WILL BE DELETED FROM THE DOCUMENT AND THE DATA WILL BE DELETED FROM THE DOCUMENT.

EXHIBIT E

W.E.S.T. FORWARDING SERVICES, INC. 729 ROUTE 63, STE. 307 PH. 630-787-0350 BENSENVILLE, IL 60106		8239 2-771710
PAY TO THE ORDER OF <u>Z/M AMRAICW</u>		DATE <u>4/08/98</u>
<u>TWENTY THOUSAND, NINE HUNDRED, TWENTY FIVE & 10/100</u>		\$ <u>3925.00</u>
American National Bank and Trust Company of Chicago • Chicago, Illinois 60690		DOLLARS
FOR <u>Z/M WYC 119095</u>		
⑈008239⑈ ⑈071000770⑈ ⑈0960718265⑈		

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that one true and correct copy of the foregoing Answer to Complaint of Respondent, World Express Shipping, Transportation and Forwarding Services, Inc., d/b/a W.E.S.T Forwarding Services, was served by first class mail, this 11th day of April, 2000, upon Jonathan Clark Green, Jonathan Clark Green, P.C., 350 North LaSalle Street, Suite 800, Chicago, Illinois 60610-4798, attorney for Al Kogan, Galaway International, 114 Harvard Court, Glenview, Illinois 60025


Peggy Louie Chaplin